infrastructure in the country, the increased budgetary allocation towards this sector is a welcome move. The exemption on customs duty for three more cancer drugs will make the associated treatments more affordable, benefitting patients and the healthcare ecosystem.

The reduction/exemption in the customs duty on the raw materials used in medical devices and implants will reduce costs for manufacturers. The higher allocation towards the pharma production-linked incentive (PLI) scheme hints at an expected increase in the production of drugs under this scheme, helping reduce dependence on imports to an extent. The 7.4 per cent increase in allocation towards the Ayushman Bharat Scheme in FY25 BE reaffirms the government's focus on national health protection, leading to a rise in patient footfalls for healthcare companies.

The proposals to incentivise domestic higher education through interest subvention and the incentives for addition of jobs in the formal sector could also enhance the growth of the formal sectors of the economy.

Q. Will the budget help boost manufacturing and the MSME sectors?

▶ **GOYAL:** Central credit warranty worked well during the pandemic. Since many MSMEs recovered, the funds actually needed were less, making it an efficient scheme. It is good it is being revived. The other feature of the budget is continuity. The focus on ease of doing business, reducing tax/regulatory complexity and improving logistics have boosted manufacturing in the past and will continue to do so. Policy stability is important for the private sector.

▶ **RANADE:** India's share of manufacturing needs to go from current 17 per cent to at least 22 or 23 per cent of GDP. This will mainly be contributed by the small businesses. The budget provides many measures to enhance the working of MSMEs—collateral-free loans, credit guarantees and access to export markets via e-commerce. India is consciously moving toward participating actively in global value chains, even those which go through China. This policy is not driven merely by "value addition" as in the past, but by "job creation" and also access to global markets.

▶ **JOSHI:** Key measures announced include steps to reduce the corporate tax rate on foreign companies to 35 per cent from 40 per cent, abolition of angel tax and increase in some basic customs duties to promote value addition in domestic production.

> "By targeting to bring down the cost of capital, and promising to streamline and simplify taxation, the government is improving the operating environment for manufacturers"
>
> –NEELKANTH MISHRA

Rationalising import costs for critical minerals and raw materials through duty adjustments will reduce costs and spur domestic value addition in emerging sectors. These include electric vehicle batteries, storage systems, photovoltaic module manufacturing and electronics, where critical minerals form a crucial part of the value chain. Allocation under PLI schemes is up 74 per cent in FY25 BE, reflecting their gradual success.

For MSMEs, the budget has addressed credit requirement needs taking cognisance of their lack of collateral. Moreover, there is a government-promoted credit guarantee fund for MSMEs.

▶ **MISHRA:** By targeting to bring down the cost of capital over the medium term, and promising to streamline and simplify taxation, the government is improving the operating environment for manufacturers. Support to employment, as well as the boost to infrastructure that is helping bring down logistics costs, should also help manufacturers. Raising limits for Mudra loans, and trying to develop a new credit assessment model can help improve access to credit for MSMEs, among other direct measures announced, like for irradiation centres for MSMEs in food processing.